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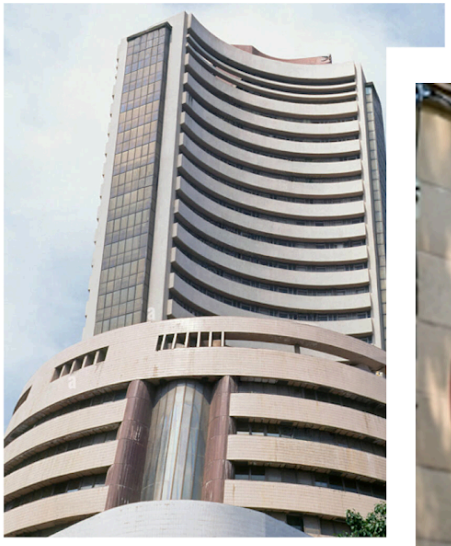
General Knowledge

Indian Economy

STUDY NOTES

National Income



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National Income

Introduction to National Income:

- **National Income (NI)** refers to the total value of all final goods and services produced within a country over a specific period, typically one year.
- It measures a nation's overall economic performance and provides insights into the **economy's health**, **standards of living**, and **growth trend**s.
- Economists and policymakers use National Income to devise economic policies, compare development levels, and formulate socio-economic plans.

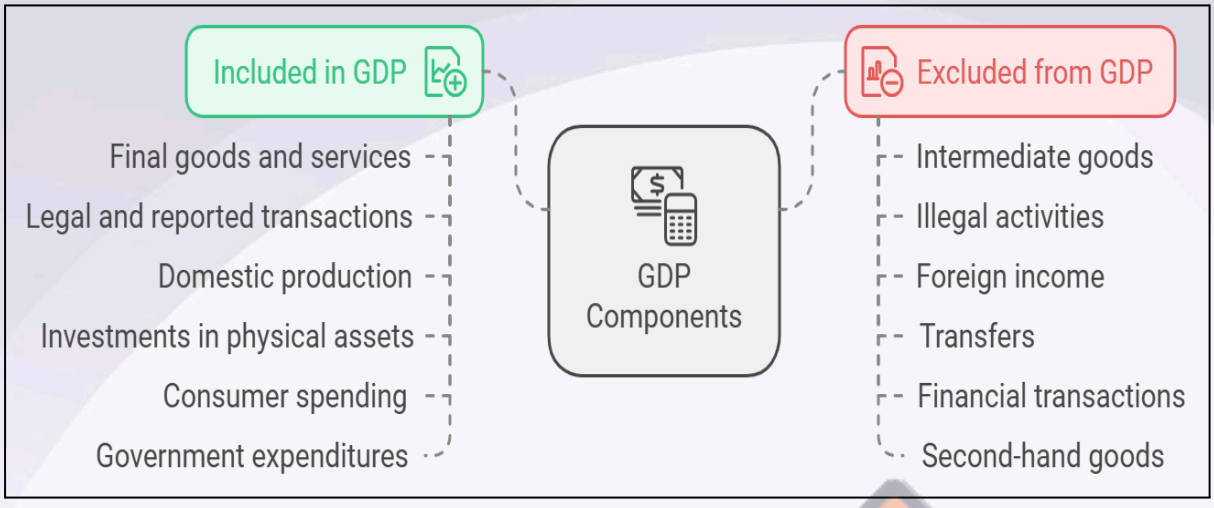
Gross Domestic Product (GDP):

- GDP is the total monetary value of all goods and services produced within a country's borders annually.
- It includes contributions from domestic and foreign entities.
- GDP is calculated using two methods:
  - - Nominal GDP: Calculated at current market prices, not adjusted for inflation.
  - - Real GDP: Adjusted for price-level changes, providing a true picture of economic growth.
- GDP can also be measured at market prices or factor cost:
  - - GDP at Market Price: Includes taxes and subsidies on products.
  - - GDP at Factor Cost: Adjusted for taxes and subsidies to reflect true incomes from production.

Limitations of GDP

- Non-Market Transactions: GDP does not account for non-market activities like unpaid domestic work or volunteer services.
- Quality of Life: It does not reflect income inequality, happiness, or overall well-being of citizens.
- Environmental Costs: GDP ignores the environmental degradation or depletion of natural resources caused by production.
- Shadow Economy: Activities in the informal or black economy are not included.
- Non-Economic Factors: It does not capture health, education, or political freedom, which contributes to societal progress.

- Sustainability: GDP measures short-term economic output but does not consider whether growth is sustainable over the long term.



Gross National Product (GNP):

- GNP measures the total value of goods and services produced by a country's residents, regardless of the production location. It includes net income from abroad.
- The formula for GNP is:
  - **GNP = GDP + Net Income from Abroad.**

GDP vs. GNP

Aspect	GDP (Gross Domestic Product)	GNP (Gross National Product)
Definition	Measures the total value of goods and services produced within a country's borders.	Measures the total value of goods and services produced by a country's residents, regardless of location.
Scope	Includes only domestic production.	Includes both domestic and overseas production by residents.
Includes Foreign Income	Excludes income earned by citizens abroad.	Includes income earned by citizens abroad.
Excludes Foreign Income	Includes income earned by foreigners within the country.	Excludes income earned by foreigners within the country.
Focus	Measures economic activity within a geographical boundary.	Measures economic activity based on citizenship or nationality.

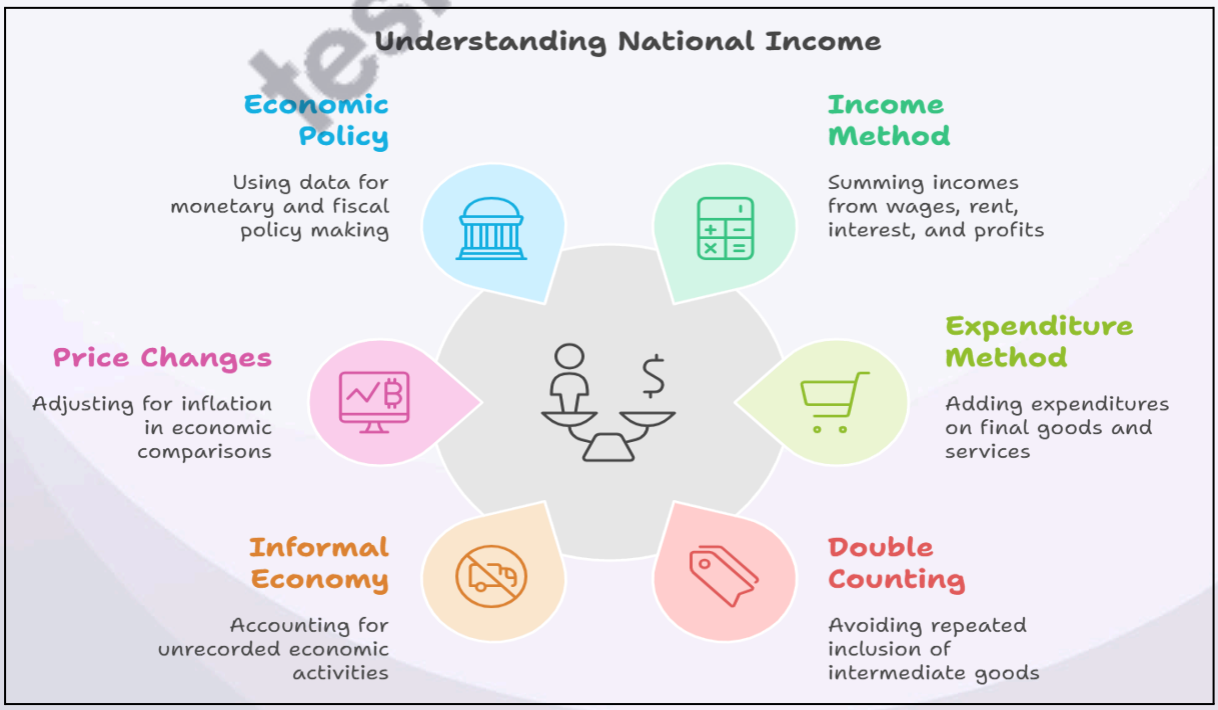
Example	A factory in India run by a foreign company is counted in India's GDP.	Income earned by an Indian company operating abroad is included in India's GNP.

Net National Product (NNP):

- NNP is derived by subtracting depreciation from GNP. Depreciation accounts for the wear and tear of capital goods over time.
- The formula is:
  - **NNP = GNP - Depreciation**.

National Income (NI):

- National Income is the total income earned by a nation's residents in the form of wages, rent, interest, and profits.
- It is calculated as:
  - **NI = NNP at Factor Cost.**
- **Applications and Uses of National Income Data**
  - - Economic Policy Making: Helps in framing monetary and fiscal policies.
  - - Living Standards: Used to calculate per capita income and assess well-being.
  - - International Comparisons: Compare economic performance across countries using GDP and GNP.



Term	Description
National Income (NI)	The total value of all goods and services produced in a country over a specific period, usually one year.
Gross National Product (GNP)	The total market value of all final goods and services produced by residents of a country in a given period, including net income from abroad.
Gross Domestic Product (GDP)	The total market value of all final goods and services produced within a country's borders, regardless of who produces them.
Net National Product (NNP)	GNP minus depreciation (the wear and tear on capital goods). Indicates the net value of goods and services produced.
Net Domestic Product (NDP)	GDP minus depreciation. Reflects the value of goods and services produced within a country after accounting for capital consumption.
Personal Income (PI)	Total income received by individuals in a country, including wages, salaries, dividends, rents, and other forms of income.
Disposable Income (DI)	Personal income minus taxes. It represents the amount of income that households can spend or save.
National Income Accounting	The systematic recording and analysis of a country's economic transactions. This includes calculating GDP, GNP, NNP, etc.
Methods of Calculating NI	1. Production Method: Measures output from different sectors. 2. Income Method: Summarizes all incomes earned by factors of production. 3. Expenditure Method: Adds up total spending on the nation's final goods and services.